# State of New York

## Strategic IT Landscape and Market Analysis Report

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# 1. Executive Summary & Macro Landscape

The State of New York currently operates within a highly dynamic, heavily scrutinized, and well-capitalized political and economic environment. Characterized by an ambitious executive agenda focused on affordability, technological innovation, and statewide infrastructure resilience, the State is navigating post-pandemic economic realities while attempting to position itself as a global leader in next-generation technology. Under the leadership of Governor Kathy Hochul, the State's Fiscal Year (FY) 2026 Executive Budget proposes a record $252 billion in total enterprise spending.[1] Despite looming uncertainties regarding potential reductions in federal funding under the current federal administration, New York is aggressively leveraging better-than-expected tax revenues and a projected $5.3 billion operating surplus to fund a massive, citizen-centric affordability agenda.[1] Furthermore, the State maintains robust strategic reserves totaling approximately $21.2 billion, indicating a highly resilient macroeconomic baseline that can absorb short-term fiscal shocks while sustaining long-term capital information technology (IT) investments.[1]

The prevailing administrative climate within the Executive Chamber is heavily geared toward easing the financial burden on residents, reducing bureaucratic friction in citizen-to-government interactions, and establishing New York as a premier destination for Artificial Intelligence (AI) research and semiconductor manufacturing. The Executive Chamber and the state's legislative bodies recognize that executing these ambitious policy objectives requires a modernized, highly scalable, and exceptionally secure enterprise IT foundation. Consequently, enterprise technology is no longer viewed merely as a back-office utility or a cost center, but rather as the primary delivery mechanism for the Governor’s flagship socio-economic programs. This represents a fundamental shift in how the state procures and deploys technology, moving away from legacy maintenance and toward strategic, citizen-facing digital transformation.

For the current and upcoming fiscal years, the core administrative goals driving the State's strategic, political, and financial priorities are intricately linked to underlying technology requirements. The top core administrative goals for the current fiscal year include the following critical areas:

**Citizen Affordability and Economic Relief** The administration is currently executing a massive fiscal relief program designed to combat the rising cost of living across the state. This initiative is anchored by a $3 billion Inflation Refund program, which aims to distribute direct financial payments to approximately 8.6 million taxpayers statewide.[2] Additionally, the state is expanding the Empire State Child Credit and investing $110 million to build or renovate child care centers in an effort to eliminate child care deserts.[2] From a technological standpoint, the underlying requirement involves highly secure, high-throughput transactional database systems capable of processing millions of disbursements without downtime, latency, or susceptibility to fraud. The disbursement of these funds requires seamless integration across multiple state agencies, including the Department of Taxation and Finance and the Office of Temporary and Disability Assistance, necessitating robust application programming interface (API) management,

middleware, and secure hybrid-cloud infrastructure.

**Economic Development via AI Innovation (Empire AI)** New York is aggressively positioning itself as the premier national hub for AI research, development, and ethical governance. The State has committed up to $340 million in capital funding—part of a broader $500 million public-private consortium—to launch the "Empire AI" supercomputing center housed at the University at Buffalo.[6] This consortium includes founding research institutions such as Columbia University and Cornell University.[7] The initiative is explicitly designed to drive regional economic growth, support local technology startups, and utilize AI for the "public good" by tackling complex issues such as climate change, food insecurity, and exceptional education.[6] This massive undertaking requires state-of-the-art high-performance computing (HPC) clusters, advanced graphics processing unit (GPU) nodes, immense unstructured data storage capabilities, and sophisticated thermal cooling management to support the immense power draw of next-generation AI workloads.

**Statewide Cybersecurity and Digital Resilience** In response to escalating and increasingly sophisticated cyber threats against state and local infrastructure, the administration is prioritizing a comprehensive "whole-of-state" cybersecurity posture. This involves expanding the Cyber Risk Remediation Program, empowering the New York Security Operations Center (NYSOC), and actively defending against ransomware attacks that threaten critical public safety and healthcare systems.[11] Furthermore, the state is distributing millions in federal State and Local Cybersecurity Grant Program (SLCGP) funds to vulnerable local municipalities to ensure that the entire state supply chain is hardened against intrusion.[12] The technological imperative here includes the deployment of zero-trust network architectures, advanced endpoint detection and response (EDR) solutions, automated vulnerability scanning, and immutable data vaulting for rapid cyber recovery.

**Digital Equity and Citizen Experience Transformation** Driven by recent federal Department of Justice rulings regarding web accessibility and a statewide mandate to eliminate bureaucratic friction, New York is heavily prioritizing the modernization of resident-facing digital applications.[14] Agencies with historically high citizen touchpoints, such as the Department of Motor Vehicles (DMV), are undergoing comprehensive digital transformations designed to enable "one trip and done" self-service capabilities.[16] This modernization effort necessitates a strategic shift away from aging, monolithic legacy mainframes toward agile, cloud-native environments, human-centered design principles, and robust identity and access management (IAM) platforms to secure resident data.

# 2. Power Structure & Key Stakeholders

The technological trajectory of New York State is governed by a highly complex, interconnected matrix of elected policymakers who control the legislative purse strings, and executive IT leadership who dictate technical standards, operational roadmaps, and architectural blueprints. Navigating this ecosystem requires mapping Dell Technologies' portfolio and value propositions directly to the specific operational mandates, political motivations, and public stances of these

key figures. The following table categorizes the critical stakeholders Dell must engage or influence to capture enterprise market share within the state.

| Name & Title | Category | Sphere of Influence | Recent Public Stances on Technology & Strategic Priorities |
|---|---|---|---|
| **Kathy Hochul**<br><br>Governor of New York | Elected Leadership | Financial Purchaser & Executive Mandate | Heavily champions the "Empire AI" consortium, positioning New York as a national model for responsible, public-good AI. Emphasizes modernizing citizen touchpoints, explicitly driving the DMV technology overhaul, and spearheaded landmark cybersecurity legislation for local government networks.[6] |
| **Liz Krueger**<br><br>Chair, Senate Finance Committee | Elected Leadership | Financial Purchaser | Controls the legislative purse strings in the State Senate. Focuses on budget accountability, long-term fiscal stability, and scrutinizing large-scale executive branch capital appropriations to ensure taxpayer value and programmatic efficiency.[18] |
| **J. Gary Pretlow**<br><br>Chair, Assembly Ways and Means Committee | Elected Leadership | Financial Purchaser | The counterpart to Senator Krueger in the Assembly. Highly influential in finalizing the state budget and ensuring the equitable distribution of funds, particularly concerning municipal grants, regional economic development, and infrastructure investments.[21] |
| **Kristen Gonzalez**<br><br>Chair, Senate Internet and Technology Committee | Elected Leadership | Policy Influencer & Regulatory Driver | Highly active and vocal regarding technology regulation. Recently passed a legislative package to ban AI chatbots from using unsafe features with minors and preventing AI from impersonating licensed professionals. Advocates for stringent AI governance, data privacy, and consumer protection.[23] |

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|---|---|---|---|
| **Dru Rai**<br><br>Chief Information Officer (CIO) & Director of ITS | IT Leadership | Technical Influencer & Financial Purchaser | Appointed in October 2023 with extensive private-sector experience (former Global CIO for Ball Corporation and GE Advanced Material). Focuses on enterprise digital transformation, strengthening the state's cyber posture, and creating digital interactions that are "simple, seamless and straightforward".[17] |
| **Jenson Jacob**<br><br>Executive Deputy Chief Information Officer | IT Leadership | Technical Influencer | Named to the position in September 2025. Focuses on building a comprehensive digital strategy using disruptive and enterprise technologies. Oversees the innovation journey across applications and manages the delivery of mission-critical services.[17] |
| **Eleonore Fournier-Tombs**<br><br>Chief Artificial Intelligence Officer (CAIO) | IT Leadership | Technical Influencer | Appointed in January 2026. Tasked with shaping the next phase of the state's AI strategy, data governance frameworks, and AI policy. Brings extensive international experience, having previously founded the United Nations' first AI policy research lab.[17] |
| **Chris DeSain**<br><br>Chief Information Security Officer (CISO) | IT Leadership | Technical Influencer | Appointed in June 2022, responsible for securing the state's data from cyber threats. Established the "Red Team" during his tenure at NYS ITS Cyber Command. Focuses on zero-trust architecture, incident response, and continuous threat monitoring.[17] |
| **Michael Allen**<br><br>Deputy Commissioner for Technology (DCT), Dept. of Labor | Agency IT Leadership | Technical Influencer & Operational Buyer | Embedded IT leader for the Department of Labor. Oversees business application services and drives modernization efforts for state IT resources specific to workforce development, unemployment systems, and high-volume transactional portals.[17] |
| **Richard Cletus** | Agency IT | Technical | Oversees highly critical, high-volume |

| | | | |
|---|---|---|---|
| DCT, Dept. of Tax and Finance (DTF) | Leadership | Influencer & Operational Buyer | modernization projects for taxpayers, including the e-MPIRE system. A critical stakeholder for transactional data storage, high-availability compute, and secure financial processing environments.[17] |

The power structure in New York requires a dual-pronged sales strategy. Account Executives must align the technical merits of Dell's infrastructure (e.g., PowerEdge, PowerStore) with the technical influencers within the Office of Information Technology Services (ITS) such as Dru Rai and Chris DeSain. Simultaneously, the strategic messaging must address the political and financial priorities of elected officials, demonstrating how Dell solutions accelerate the delivery of the Governor's affordability agenda, comply with Senator Gonzalez's strict technology regulations, and provide cost-predictability for the legislative finance chairs.

# 3. IT Governance & Service Delivery Model

The State of New York's enterprise technology footprint is governed by the Office of Information Technology Services (ITS), an agency created in 2012 to centralize a historically fragmented, inefficient, and siloed IT landscape across dozens of state executive agencies.[25] The operational methodology and service delivery model utilized by ITS fundamentally dictates how technology is procured, deployed, and managed across the state.

## Operating Model: Federated-Hybrid via Deputy Commissioners for Technology

Today, ITS operates under a highly structured Federated-Hybrid service delivery model. This approach attempts to balance the economic and security benefits of centralized infrastructure with the agility and specialized business requirements of individual executive agencies.

At the enterprise core, central ITS commands the overarching infrastructure. This centralized body manages the Statewide Data Center, which acts as the technological beating heart for the state. The central infrastructure supports mission-critical applications for 53 different agencies, housing over 33 petabytes of centralized data storage, managing 100,000 employee workstations, and operating the enterprise telecommunications network.[11] Central ITS is also solely responsible for establishing statewide technology policies, defining stringent cybersecurity standards, outlining cloud computing guidelines, and mandating procurement compliance protocols.[26]

However, a purely centralized model often stifles agency-specific business agility. To prevent this, ITS employs a federated edge strategy driven by Deputy Commissioners for Technology (DCTs). DCTs are senior-level, highly experienced ITS executives embedded directly within a single agency or a cluster of similar agencies (such as the Department of Labor, the

Department of Health, or the Office for People with Developmental Disabilities).[17] These DCTs act as the vital connective tissue between the rigid mandates of central ITS and the fluid, mission-critical application needs of their assigned agency commissioners.[17] Supported by dedicated and shared services teams, DCTs are ultimately responsible for driving agency-specific digital transformation, proactively resolving operational outages, and navigating the profound complexities of aligning enterprise technology with distinct agency business requirements.[17]

## Operational Friction Points and Chargeback Vulnerabilities

While the consolidated, federated-hybrid ITS model is designed for optimal efficiency and security, profound operational friction points exist regarding how agencies consume, track, and pay for these enterprise services. These friction points present significant vulnerabilities for the state, but also create prime advisory and technological intervention opportunities for Dell Technologies.

**The Chargeback Dilemma and Financial Transparency** ITS operates partially as an Internal Service Fund, meaning it operates similarly to a managed service provider (MSP) that bills its client agencies for the IT services they consume. These billing rates are not arbitrary; they are heavily regulated by federal guidelines, specifically 2 CFR Part 200, which mandate that the State meticulously reconcile central cost-allocated services and adjust for any variances identified between actual revenue and allowable costs.[28] ITS formulates and publishes an annual Rate Card that dictates the exact cost of services ranging from virtual desktop infrastructure (VDI) and middleware hosting to mainframe batch processing and managed file transfers.[28]

Friction inevitably arises when client agencies feel they are being billed excessively for suboptimal service delivery, or when they are charged for IT assets they believe they do not possess. When agencies lack visibility into the exact consumption metrics of their cloud storage, compute cycles, or endpoint devices, they often attempt to bypass central ITS, leading to "shadow IT" procurements or protracted budget disputes between agency finance directors and ITS administration.

**The Asset Management and Inventory Control Crisis** The most critical vulnerability in the current ITS governance model—and the most significant source of friction between ITS and its client agencies—was starkly exposed in a February 2025 audit conducted by State Comptroller Thomas P. DiNapoli. The audit results were catastrophic from an IT Service Management (ITSM) perspective, revealing that ITS literally "lost track" of 17,887 devices, including laptops and desktop computers intended for state agencies.[25]

The audit, which analyzed operations from March 2020 to August 2024, evaluated a $62 million hardware spend.[25] It determined that ITS severely lacked the necessary internal controls to accurately and completely account for the hardware assets for which it is responsible.[29] Shockingly, 82% of the missing items were classified in the ITSM software simply as "absent" because their physical locations were entirely unknown.[25] Furthermore, auditors physically

inspected 88 stockroom locations and discovered 36 pallets of unsecured stockroom equipment, including hard drives potentially containing highly confidential data, left unattended in shared storage areas.[29] The report also noted that ITS routinely prepares to destroy new or lightly used equipment—totaling half a million dollars in value—rather than repurposing or properly recycling it.[25]

For agency stakeholders relying on ITS to provide accurate chargebacks for Client Computing Services, this audit fundamentally destroys trust. Client agencies are inherently frustrated and politically vulnerable when they are billed for endpoint devices that central ITS cannot physically locate. This breakdown in basic PC lifecycle management represents a massive, documented source of operational friction and exposes the state to severe data privacy risks, particularly considering the stringent requirements of the Health Insurance Portability and Accountability Act (HIPAA) and Criminal Justice Information Services (CJIS) data handled by state workers.

# 4. Financials & Budget Breakdown

New York State operates at a financial scale rivaling the world's largest enterprise corporations. The technology spending required to maintain, secure, and modernize this environment is correspondingly massive, reflecting the administration's recognition that technology is the critical enabler of state operations.

## Total & IT Budget

The Governor's FY 2026 Executive Budget proposes a total state operating budget of $252 billion, representing the largest budget proposal in the state's history.[1] Within this broader macroeconomic blueprint, the Office of Information Technology Services commands a substantial portion of the enterprise spend.

For FY 2026, the recommended Total All Funds budget for ITS is $1,099,917,000.[30] This represents a significant increase of approximately $174 million from the FY 2025 availability, explicitly highlighting the administration's willingness to fund enterprise technology as a core operational and strategic imperative.[30]

The ITS budget is distinctly categorized to separate recurring operational spend (Operations and Maintenance, or O&M) from net-new capital investments and strategic modernization projects:

| Funding Category | FY 2025 Available | FY 2026 Recommended | Variance / Change |
|---|---|---|---|
| **General Fund (O&M / Core Operations)** | $739,691,000 | $863,781,000 | +$124,090,000 |
| **Internal Service Funds (Agency Chargebacks)** | $151,636,000 | $201,636,000 | +$50,000,000 |
| **Enterprise Funds** | $4,000,000 | $4,000,000 | $0 |
| **Special Revenue Funds (Federal & Other)** | $30,500,000 | $30,500,000 | $0 |
| **Total All Funds** | **$925,827,000** | **$1,099,917,000** | **+$174,090,000** |

Data derived from the FY 2026 Executive Budget Appropriations Data.[30]

**Recurring Operational Spend (O&M):** The day-to-day operations, maintenance of the statewide data center, network services, and shared computing services are primarily funded through a mix of the General Fund and Internal Service Funds. The substantial $50 million increase in Internal Service Funds indicates that ITS anticipates higher consumption of billable services by client agencies in the upcoming fiscal year.[30]

**Net-New Project and Capital Investments:** Beyond the base operating budget, the Executive Budget includes a dedicated $130.7 million ITS Capital Innovation Fund.[11] This capital appropriation is explicitly ring-fenced to fund enterprise technology projects, underlying infrastructure upgrades, automation expansion, and the comprehensive redesign of online services available to residents.[11] Additionally, cybersecurity operations are receiving a targeted $32.9 million increase in funding appropriations to address the exponential growth of the Cyber Risk Remediation Program, the expansion of the New York Security Operations Center (NYSOC), and enhanced shared security services.[11]

## Grants & Federal Funding Influxes

New York is actively and aggressively leveraging federal infrastructure and security legislation

to subsidize its technology modernization efforts. This creates massive downstream opportunities for vendors as federal dollars flow through state agencies down to local municipalities.

- **State and Local Cybersecurity Grant Program (SLCGP):** Authorized under the federal Bipartisan Infrastructure Law, the SLCGP provides critical funding to address cyber threats to state, local, tribal, and territorial (SLTT) owned information systems.[31] In February 2026, Governor Hochul announced the award of $9 million through this program directly to local governments across the state.[17] The Department of Homeland Security and Emergency Services (DHSES) and ITS act as the State Administrative Agency (SAA), administering these non-competitive grants. This allows local counties and cities to procure endpoint protection, zero-trust network access (ZTNA), vulnerability management tools, and incident response retainers.[13]
- **Hazardous Materials Emergency Preparedness (HMEP) Grant:** DHSES is distributing approximately $304,000 in regional non-competitive grants for emergency preparedness.[13] While ostensibly for emergency management, these funds are frequently utilized for technological upgrades to regional command centers, ruggedized edge computing devices for first responders, and resilient communication infrastructure.
- **Water Infrastructure Capital:** New York is deploying $3.8 billion in financial assistance for local water projects in FY 2025, with an additional transformational $3.75 billion proposed for FY 2026.[12] While primarily viewed as civil engineering initiatives, modernizing these water treatment facilities heavily relies on expanding Edge computing capabilities, securing Supervisory Control and Data Acquisition (SCADA) systems against cyber intrusion, and deploying Internet of Things (IoT) sensors for predictive maintenance.

# 5. Strategic Initiatives & Projects (Focus on Top 3)

The State of New York has identified several highly capitalized transformation efforts designed to advance its overarching socio-economic agenda. The top three funded modernization efforts currently underway across the entity are detailed below, offering direct alignment opportunities for enterprise technology vendors.

## 1. Empire AI Consortium & Supercomputing Center

**The Executive Mandate:** Governor Hochul's flagship technological and economic innovation initiative is the creation of "Empire AI." This consortium aims to secure New York's position at the global forefront of artificial intelligence research, ethical AI governance, and economic development, ensuring the state remains competitive against federal and international AI hubs. The mandate is to harness AI for the "public good," tackling complex societal issues like climate change mitigation, food insecurity, and healthcare diagnostics, while simultaneously driving job creation and cementing the state's dominance in the semiconductor supply chain.[3]

**The Owning Agency/Entity:** The project is a unique public-private partnership managed via

Empire State Development (ESD) and housed physically at the University at Buffalo (UB). It involves a consortium of founding member institutions including Columbia University, Cornell University, New York University, Rensselaer Polytechnic Institute, the State University of New York (SUNY), and the City University of New York (CUNY), backed by philanthropic organizations such as the Simons Foundation.[6]

**The Underlying IT Requirement:** The technological requirements for this initiative are staggering. Backed by over $500 million in total funding—including up to $340 million in state capital funding secured by the Governor—Empire AI is building state-of-the-art supercomputing clusters.[6] The initial "Alpha" system utilizes 24 NVIDIA HGX nodes featuring H100 80GB GPUs and 4 PB of storage.[8] Recently, the ESD Board approved a $40 million state funding tranche to launch the "Beta" phase, which will be 11 times more powerful than the Alpha system.[6] The Beta system will utilize NVIDIA's cutting-edge Blackwell AI platform, consisting of DGX GB200 SuperPODs encompassing 288 B200 GPUs and 60 Grace CPU nodes for data processing.[6] This immense compute capacity necessitates highly scalable unstructured data storage, high-throughput and low-latency networking interconnects, and advanced liquid cooling capabilities to manage the extreme thermal output of the hardware. The state is actively soliciting research proposals to utilize this compute power, driving continuous demand for backend infrastructure.[9]

## 2. Citizen Experience Transformation (DMV & DOL)

**The Executive Mandate:** Driven by a statewide mandate to dramatically improve the "citizen experience" and eliminate bureaucratic delays, the state has ordered a comprehensive, multi-year overhaul of core operations across highly visible agencies. The strategic goal is to implement a "one trip and done" methodology, replacing deeply entrenched, outdated software applications with automated, highly efficient, and user-friendly digital portals for New Yorkers.[16]

**The Owning Agency/Entity:** The New York State Department of Motor Vehicles (DMV), led by Commissioner Mark J.F. Schroeder [16], alongside the Department of Labor (DOL) which recently launched its comprehensive 2025-2027 Strategic Roadmap.

**The Underlying IT Requirement:** The DMV's multi-year project requires massive application modernization, migrating hundreds of fragmented legacy applications into a consolidated platform.[16] Similarly, the DOL roadmap requires implementing modern business practices to improve the customer experience and establish the agency as a trusted hub for highly accessible data. Executing these transformations requires deep technical expertise in legacy-to-cloud migration, robust unstructured data storage, and high-availability enterprise compute capable of processing millions of statewide transactions securely and without downtime.

## 3. Statewide & Healthcare Cyber Risk Remediation

**The Executive Mandate:** Confronting the escalating, pervasive threat of ransomware against

public infrastructure, the state has adopted a unified, aggressive cyber resilience mandate. This involves defending central state assets, extending a protective umbrella over local municipalities [6], and enforcing strict new cybersecurity standards across the state's critical healthcare network.

**The Owning Agency/Entity:** This is a shared ownership initiative spearheaded by the Office of Information Technology Services (ITS), the New York Security Operations Center (NYSOC), the Division of Homeland Security and Emergency Services (DHSES) [11], and the Department of Health (DOH).

**The Underlying IT Requirement:** Supported by a dedicated $32.9 million increase in the Executive Budget for ITS [11], this initiative requires the widespread implementation of Zero Trust architectures. Furthermore, under newly enacted NYSDOH regulations (10 NYCRR § 405.46), general hospitals are legally required to report cyber incidents within 72 hours and fully implement robust cybersecurity programs by October 2, 2025. The technical prerequisites include automated endpoint detection and response (EDR), identity-based micro-segmentation, and immutable data vaulting to ensure rapid cyber recovery across both government and healthcare sectors.

# 6. Procurement, Vendor Landscape, & Compliance

Selling enterprise technology to the State of New York requires navigating a highly structured, compliance-driven, and legally rigorous procurement ecosystem dominated by centralized contract vehicles managed by the Office of General Services (OGS).

## Procurement Vehicles & Cooperative Agreements

Dell Technologies and its channel partners must execute sales motions through the following primary contract vehicles to do business with the state and its authorized users:

| Contract Vehicle Name | Award / Group Number | Expiration Date | Scope & Relevance |
|---|---|---|---|
| **Information Technology Umbrella Contract – Manufacturer Based (Statewide)** | Award 22802 / Group 73600 | November 29, 2030 | The premier vehicle for selling hardware, software, and cloud solutions directly from the manufacturer. Dell Marketing LP holds contract PM20820 under this award. Crucially, this vehicle contains multiple lots, including Lot 3, which authorizes the sale of Cloud services (low, moderate, and high risk).[39] **Update:** Dell Marketing LP's contractor information and price list were officially updated by the state effective February 24, 2026.[40] |
| **Information Technology Umbrella Contract – Distributor Based (Statewide)** | Award 22876 / Group 73600 | December 06, 2026 | Allows for expedited Request for Quotes (RFQ) for software and hardware procured through distribution channels. **Critically, this contract explicitly prohibits the sale and purchase of all Cloud products.**.[42] |
| **Hourly-Based Information Technology Services (HBITS) (Statewide)** | Award 23158 / Group 73012 | June 30, 2029 | The primary vehicle used by state agencies for procuring IT staff augmentation, project-based consulting, and specialized technical services.[43] |
| **National Cooperative Purchasing Agreements** | Various | Various | Dell maintains access to NY-approved national cooperative vehicles, such as the National Cooperative Purchasing Alliance (NCPA) and PEPPM, providing alternative procurement routes for local municipalities and educational entities.[39] |

## The Battlefield: Incumbents and Legacy Footprints

The New York enterprise IT landscape is highly contested, with major competitors and legacy providers deeply entrenched across the technology stack. Displacing these incumbents requires targeted financial and technical interventions.

- **Mainframe & Legacy Compute (IBM):** IBM maintains a massive, expensive, and deeply entrenched stronghold over the state's legacy infrastructure, creating substantial technical debt. Recent active contracts illustrate this dependency, including a $3.4 million deal with the Office of the State Comptroller for Monthly License Charges (MLCs) for IBM mainframe software (C001159), a $1.6 million agreement for IBM Z series software at SUNY Downstate (C324599), and a $2.3 million contract for mainframe software extensions via Rocket Software (C000765).[45] The federal Defense Information Systems Agency (DISA) recently signaled a massive push to modernize mainframe data ecosystems and migrate to hybrid clouds [47]; New York faces identical pressures to execute legacy API enablement and hybrid cloud transformations to escape these recurring MLC costs.
- **Compute & Storage Competitors:** Under the OGS Umbrella Manufacturer contract, Dell battles directly against Tier 1 hardware competitors. Hewlett-Packard Enterprise (HPE) holds contract PM20850, Hitachi Vantara is an active participant, and Pure Storage holds contract PM68107, which is notably set to expire in late 2025, creating a prime displacement window.[40]
- **Security & Networking:** Palo Alto Networks, Fortinet, F5, and Mandiant are heavily utilized across state agencies for next-generation firewall capabilities, load balancing, and incident response retainers.[40]

## Compliance & Regulatory Drivers

Technical solutions sold into New York State must adhere to stringent, rapidly evolving regulatory frameworks that dictate how data is stored, secured, and processed.

- **DFS Cybersecurity Regulation (23 NYCRR Part 500):** The New York Department of Financial Services (NYDFS) has enacted aggressive cybersecurity amendments that heavily impact state-regulated entities and third-party service providers. Covered entities must submit compliance certifications by April 15, 2025.[49] By May 1, 2025, entities must implement automated vulnerability scans, specialized endpoint detection and response (EDR), and centralized logging.[50] Furthermore, by November 1, 2025, stringent Multi-Factor Authentication (MFA) requirements take effect for any individual accessing covered information systems.[50]
- **StateRAMP Certification:** Mirroring the federal FedRAMP process, New York is increasingly relying on the StateRAMP security assessment framework to rigorously verify the security posture of Cloud Service Providers (CSPs). Vendors offering cloud solutions must achieve "Ready," "Provisional," or "Authorized" status to legally process and store state data, ensuring alignment with NIST Special Publication 800-53 standards.[51]

- **NYS Cloud Policy (ITS-P19-002):** This policy mandates that all state cloud deployments must utilize an ITS-approved identity provider, adhere strictly to data residency requirements, and forward all security logs directly to the NYSOC.[54] Furthermore, it dictates that cloud deployments must operate within the parameters of zero-emission facility targets and maintain a defined exit strategy to extract state data in a usable format.[54]
- **AI Governance, Legislation, and Data Center Moratorium:** The state is rapidly establishing legal guardrails around artificial intelligence. The law mandates strict inventories of AI usage across state agencies.[55] Furthermore, the Senate Internet and Technology Committee recently passed legislation banning AI chatbots from using unsafe features with minors and prohibiting AI from impersonating licensed professionals.[23] Critically, New York Senate Bill S.9144, introduced in February 2026, proposes a strict moratorium lasting at least three years and ninety days on the issuance of any new state or local permits for data centers capable of consuming 20 megawatts (MW) or more of electricity. This severe environmental legislation heavily influences how AI infrastructure is sited and cooled.

# 7. Actionable Dell Opportunities

Based on the intersection of the State's strategic goals, the massive $1.099 billion ITS budget, the evolving regulatory landscape, and the specific operational pain points identified in recent state audits, the following actionable sales motions are prescribed for the Dell Technologies Account Executive and District Manager. These strategies map directly to Dell's portfolio to drive immediate pipeline generation.

**Funded Alignment: Powering the "Empire AI" Supercomputing Revolution** The State has committed up to $340 million in capital to build the Empire AI supercomputer at the University at Buffalo, with a recent $40 million tranche approved to launch the Beta phase.[6] While NVIDIA is the primary provider for the Blackwell/B200 GPU nodes that make up the DGX GB200 SuperPODs [6], these extreme-performance GPU clusters cannot function without a world-class, high-throughput data pipeline to feed them massive amounts of unstructured data. **The Dell Play:** Position Dell's **AI-Ready Infrastructure**, specifically the **PowerEdge XE9680** (which is optimized for NVIDIA HGX and B200 architectures) and **PowerScale / ECS unstructured storage solutions**. The Account Executive must immediately engage the Empire AI consortium leadership to demonstrate how Dell's storage fabric ensures that the datasets required for complex modeling do not bottleneck the highly expensive GPU compute cycles. Furthermore, given the severe restrictions proposed by Senate Bill S.9144—which would legally freeze permits for new data centers consuming 20 MW or more for over three years—Dell must emphasize its advanced Smart Cooling technology and liquid-cooled PowerEdge designs. This proves that Dell can deploy dense AI infrastructure while scaling within existing power footprints and environmental constraints.

**Whitespace & Advisory: Solving the $62M Asset Management Crisis via PCaaS** The

February 2025 audit conducted by State Comptroller DiNapoli was devastating for the Office of Information Technology Services. The revelation that ITS lost track of 17,887 devices, left 36 pallets of hardware unsecured in stockrooms, and prepared to destroy half a million dollars of lightly used equipment is a massive political and operational vulnerability for CIO Dru Rai.[25] Client agencies are deeply frustrated by inaccurate chargebacks for devices they don't have, and taxpayers are angered by government waste. **The Dell Play:** Attack this operational whitespace immediately by aggressively pitching **Dell PC as a Service (PCaaS) and Asset Recovery Services**. The district manager should request an executive briefing with CIO Dru Rai and the ITS Chief Financial Officer to propose transitioning the state from a chaotic, CapEx-heavy procurement model to a streamlined, managed OpEx model. Highlight how Dell's Client Solutions, embedded with Absolute software for persistent tracking and Dell Optimizer telemetry, can guarantee real-time asset visibility. This motion entirely eliminates the "missing device" stockroom liability that resulted in the audit, ensures precise chargeback billing for the agencies, and mitigates the severe data privacy risks of leaving hard drives unsecured.

**Funded Alignment: Department of Labor (DOL) Data Modernization**

The DOL's newly launched 2025-2027 Strategic Roadmap mandates modernizing business practices to improve the customer experience and establish the agency as a trusted hub for highly accessible data.

**The Dell Play:** Attack this whitespace by positioning Dell's multi-cloud integration and unstructured data storage messaging. The Account Executive should engage DOL IT leadership to demonstrate how Dell's storage portfolio can eliminate legacy data silos and build the agile backend foundation necessary to fulfill their new data accessibility and digital citizen service mandates.

**Whitespace & Advisory: NYSDOH Healthcare Cybersecurity Compliance**

Under newly enacted NYSDOH regulations (10 NYCRR § 405.46), general hospitals across New York face a strict October 2, 2025, deadline to implement robust cybersecurity programs, conduct formal risk assessments, and establish a 72-hour incident reporting pipeline.

**The Dell Play:** This creates an urgent, compliance-driven whitespace. The sales team must rapidly target the state's healthcare network, positioning Dell's **PowerProtect Cyber Recovery, Zero-Trust network access, and endpoint security solutions**. Emphasize how Dell provides the immutable vaulting and rapid incident recovery capabilities required to meet the DOH's strict new regulatory audits.

**Competitive Displacement: Sunsetting IBM Mainframes & Pure Storage Repatriation** The State is bleeding critical operational funds to maintain aging, inflexible legacy infrastructure. They are currently paying millions in Monthly License Charges (MLCs) to IBM for mainframe software (Contracts C001159 and C000765).[45] Concurrently, agencies like the DMV are under strict executive mandates to rip out Rockefeller-era legacy systems and move to agile, citizen-centric web applications.[16] Furthermore, competitor storage contracts on the OGS vehicle, specifically Pure Storage (PM68107), are set to expire in late 2025, creating a narrow

but highly lucrative displacement window.[40] **The Dell Play:** Execute a two-pronged infrastructure intervention. First, align with the DMV and Department of Tax & Finance DCTs (such as Richard Cletus) to position **Dell APEX** as the strategic bridge for mainframe-to-hybrid-cloud modernization. APEX provides the cloud-like agility required for the DMV's new digital portals while keeping sensitive citizen PII on-premises. Second, aggressively target the expiring Pure Storage and HPE arrays across state data centers with **PowerStore and PowerMax** consolidation plays. Offer to consolidate their aging SAN footprint to free up vital data center floor space and reduce power consumption, directly addressing the state's mandate to operate efficient, consolidated infrastructure.

**Works cited**


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